

VARIANCE ANALYSIS

BRIEF REPORT

Self Initiated Project

Project Name: Personal Finance Variance Analysis

OBJECTIVE

I undertook this project on **Variance Analysis** to make a complex financial concept easier to understand through a practical, real-life application.

Variance analysis involves analysing the difference between planned and actual financial results. The sum of these variances provides an overall view of financial over-performance or under-performance during a particular reporting period.

This Variance Analysis model is based on the **personal finance transactions of a 20-year-old undergraduate student living in a metropolitan city**. The primary objective of the project is to identify the deviation between **budgeted and actual income and expenses for Q1 and Q2 of 2026**, while also identifying patterns of overspending and underspending

MODEL BASICS

The model is completely based on personal financial transactions and covers the **first two quarters of 2026 (Q1 and Q2)** on a quarterly basis.

The model includes different categories of personal expenses, such as **rent, groceries, utilities, transportation, and leisure**, along with different sources of income.

For preparing the model, budgeted income and expenses were estimated using the **historical average of the last two quarters of 2025**. This approach provides a practical basis for establishing the budget and comparing it with actual financial performance.

DATA COLLECTION AND MODEL STRUCTURE

The model is divided into three worksheets: **Budget, Actual, and Dashboard**.

The Budget sheet contains planned income and expenses. The Actual sheet records actual transactions by date, month, category, description, and amount. The Dashboard presents the budget-versus-actual analysis and key financial insights.

This structure allows actual financial transactions to be systematically compared with the corresponding budgeted amounts.

EXCEL TOOLS AND FORMULAS USED

INDEX + MATCH: Used to retrieve the relevant budget figures based on the selected month and expense category.

SUMIFS: Used to aggregate actual transaction amounts based on multiple criteria, such as month and category

TEXT: Used to derive the month from transaction dates so that transactions could be matched with the corresponding budget period.

DATA VALIDATION: Used to provide controlled selections and improve data consistency.

CONDITIONAL FORMATTING: Used to highlight significant favourable and unfavourable variances.

KEY CALCULATIONS

VARIANCE = ACTUAL – BUDGET

VARIANCE % = (ACTUAL – BUDGET) / BUDGET × 100

DASHBOARD AND INSIGHTS – JANUARY

The January dashboard shows a **2.3% favourable variance in total income**, while total expenses were **4.1% higher than budget**. Consequently, actual savings were **1.8% below the planned level**. This indicates that the increase in income was not sufficient to fully offset the increase in expenditure.

Income Analysis

Base Salary: Base salary remained unchanged at **Rs.15,000**, which was in line with the budget.

Side-Hustle Income: Side-hustle income increased significantly by **400%**, mainly because I acquired more freelancing clients than my monthly target. This was the major contributor to the **favourable income variance**.

Bonus Income: Bonus income was **8.4% below budget** due to insufficient commission generation.

Expense Analysis

Utilities: Utilities recorded the **highest unfavourable variance of 33.3%**, indicating that spending exceeded the planned budget.

Transportation: Transportation recorded an **unfavourable variance of 12.5%**, showing another area where actual spending exceeded the planned limit.

Groceries and Leisure: Groceries and leisure remained below budget, **recording favourable variances of 17.6% and 5.3%**, respectively. These favourable variances helped partially control the overall increase in expenses.

Rent: Rent was the **largest component of actual expenses**, contributing approximately **37% of total actual expenditure**.

Although utilities were initially budgeted at only **25% of rent (Rs.1,000 compared with Rs.4,000)**, **actual utility expenses increased to Rs.1,500**. This made utilities a more significant expense than originally planned and contributed to the **unfavourable expense variance**.

OVERALL INSIGHT

Overall, the dashboard indicates that additional freelancing income improved total income, primarily through the significant increase in side-hustle earnings. However, the benefit from higher income was partly offset by increased spending, particularly on **utilities and transportation**.

The analysis therefore highlights that earning additional income alone does not necessarily result in higher savings if expenses are not controlled effectively.

CONCLUSION

Overall, my analysis shows that **income was 2.3% above budget**, mainly due to higher side-hustle income, while **expenses were 4.1% above budget**, resulting in **savings being 1.8% below budget**.

The analysis helped me understand my personal spending behaviour, identify areas of **overspending, particularly utilities and transportation**, and recognise areas where spending remained below budget. It also helped me understand that better expense control, along with maintaining additional income sources, can improve future savings and overall financial performance.